CONFIDENTIAL — SUBJECT TO LEGAL PROFESSIONAL PRIVILEGE

HARROW PRECISION ENGINEERING LIMITED v BREVDALE CASTINGS LIMITED

ADVICE ON MERITS AND QUANTUM

1. I am asked to advise Harrow Precision Engineering Limited ("Harrow") on the merits of its claim against Brevdale Castings Limited ("Brevdale") arising from the supply of defective ductile-iron pump housing castings, and on the likely recoverable quantum. I have read the Supply Agreement, the pleadings, the report of Dr Iqbal and the schedule of loss.

2. Liability. In my opinion Harrow's claim on liability is strong. The express terms at clauses 7.1 and 7.3 are clear, and Dr Iqbal's evidence that 78% of the sample failed acceptance level 2, with the porosity metallurgical and present as-cast, makes breach very difficult to resist. Brevdale's pleaded defences — that the sample was unrepresentative, that the porosity lies in non-critical areas, and that the Claimant's machining or proof-testing caused the defects — are each met squarely by Dr Iqbal and, in my view, are unlikely to succeed at trial.

3. The incorporation argument. Brevdale contends that its own conditions of sale were incorporated by a "last shot". I consider this bad. The Supply Agreement is a single signed framework contract with an entire-agreement clause (clause 17.4); the battle-of-forms analysis does not apply to a signed contract of that kind. Harrow should succeed on this point.

4. The limitation of liability. The real battleground is clause 12. Brevdale says liability is capped at 150% of the price paid in the preceding twelve months (£611,200), i.e. £916,800, and that the carve-out for clause 7 is limited to the clause 9.2 replacement remedy. Harrow says the clause 7 carve-out is unqualified, so that breaches of clause 7 are not capped at all.

5. On the language, I prefer Harrow's construction: the carve-out ("save that nothing in the Supply Agreement limits liability for breach of clause 7") is unqualified and is not in terms confined to clause 9.2. However, the point is genuinely arguable, and a court may be reluctant to read the carve-out as wholly disapplying the cap. I assess Harrow's prospects of defeating the cap altogether at around 60%. If the cap does apply, the recoverable sum is £916,800; if it does not, Harrow recovers its full loss subject to remoteness.

6. Remoteness of the Stratton Energy liability. Brevdale says the £425,000 liability to Stratton Energy plc is too remote. Harrow's answer is that Brevdale knew the castings were for pressure-bearing pump units sold on to utility and energy customers, so that liability to such customers for late or defective supply was within the parties' reasonable contemplation. I consider this head recoverable, though I would not put it higher than 70%.

7. Quantum. The pleaded loss, as amended, is £1,558,150, made up of replacement castings (£398,200), rework and recall (£648,900), carriage/inspection/disposal (£86,050) and the Stratton liability (£425,000). On my assessment of the issues above, a realistic expected recovery, weighting the cap and remoteness risks, is in the region of £1.05m to £1.20m, with a best case (cap defeated, all heads recovered) of the full £1,558,150 plus interest, and a worst case (cap applies) of £916,800.

8. Settlement. Given the strength on breach and the live risk on the cap, this is a case that should settle. I would advise a Part 36 offer pitched at around £1.15m, which puts useful costs pressure on Brevdale while reflecting the cap risk. I would not accept anything below £900,000.

9. Next steps. I advise that we (a) make a Part 36 offer in the region indicated; (b) press for the experts' meeting, where I expect Brevdale's expert to give ground on causation; and (c) keep the recall costs under review, as the rework figure rose from £512,400 to £648,900 when the recall was extended to 286 units and may move again.

HARRIET STANFORD

Eldon Chambers · 23 January 2025